Boston Scientific Corporation (BSX)

Watch list analysis, 2026-10-28 20:54 CET. Latest prices on 2026-10-28. Claude's notes updated 2026-10-28.

1. Summary

> **Q3 (Oct 28) missed on earnings and the year's outlook was cut a fourth time: sales grew only 1.5% and are guided to fall in Q4. The stock is cheap (about 13x) and now about 2% above the $41.5 entry, but growth has stalled rather than slowed. View: a small first position only at or below $41.5; wait for the 2027 outlook (late January) before adding.**

Price	Adjusted P/E, 12m	10-year median P/E	Entry at 13x
$42.35	**13.3x**	**25.2x**	**$41.47** 2% below today's price

- **Cheap:** the lowest valuation in a decade, and cheaper than most medical-device peers.
- **Strong:** the best profitability and cash generation in its peer group.
- **Weak:** little cash against its debt, with more debt coming from the Penumbra deal.
- **Uncertain:** growth has fallen from about 16% to about 4% for 2026, with Q4 sales guided down 1–3%; how much is the cyberattack and how much is lasting share loss is not yet clear.

2. The numbers

Absolute values, latest 12 months

Value	BSX
Price and value	
Share price	$42.35
Market value	$61.38bn
DCF fair value	$34.36
Cash flow before growth (DCF base)	$3.40bn
Debt and cash	
Total debt	$12.62bn
Net debt	$12.09bn
Short-term debt	$1.71bn
Long-term debt	$10.91bn
Cash	$0.54bn
Earnings	
Revenue (12m)	$21.00bn
EBITDA (12m)	$5.64bn
Net income (12m)	$3.67bn
EPS (12m)	$2.47
Forward EPS	$3.38
Cash flow	
Operating cash flow	$4.53bn
Capex	-$2.72bn
Free cash flow	$1.81bn

Absolute values by year (SEC filings; Yahoo where SEC has no figure)

Value	FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	Latest 12m
Share price	$21.63	$24.79	$35.34	$45.22	$35.95	$42.48	$46.27	$57.81	$89.32	$95.35	$42.35
Market value	$29.79bn	$34.53bn	$49.53bn	$63.79bn	$50.93bn	$60.91bn	$66.61bn	$84.60bn	$132.72bn	$142.50bn	$61.38bn
Cash flow before growth (DCF base)	$0.55bn	$0.76bn	-$0.39bn	$1.20bn	$0.67bn	$1.05bn	$0.76bn	$1.52bn	$2.41bn	$3.44bn	$3.40bn
Total debt	$5.48bn	$5.62bn	$7.06bn	$10.01bn	$9.14bn	$9.06bn	$8.94bn	$9.10bn	$10.75bn	$11.44bn	$12.62bn
Net debt	$5.29bn	$5.43bn	$6.91bn	$9.79bn	$7.41bn	$7.14bn	$8.01bn	$8.24bn	$10.33bn	$9.47bn	$12.09bn
Short-term debt	$0.06bn	$1.80bn	$2.25bn	$1.42bn	$0.01bn	$0.26bn	$0.02bn	$0.53bn	$1.78bn	$0.30bn	$1.71bn
Long-term debt	$5.42bn	$3.81bn	$4.80bn	$8.59bn	$9.13bn	$8.80bn	$8.91bn	$8.57bn	$8.97bn	$11.14bn	$10.91bn
Cash	$0.20bn	$0.19bn	$0.15bn	$0.22bn	$1.73bn	$1.93bn	$0.93bn	$0.86bn	$0.41bn	$1.97bn	$0.54bn
Revenue (12m)	$9.08bn	$9.05bn	$9.82bn	$10.73bn	$9.91bn	$11.89bn	$12.68bn	$14.24bn	$16.75bn	$20.07bn	$21.00bn
EBITDA (12m)	$1.26bn	$2.13bn	$2.40bn	$2.53bn	$1.04bn	$2.29bn	$2.79bn	$3.54bn	$3.87bn	$4.98bn	$5.64bn
Net income (12m)	$0.35bn	$0.10bn	$1.67bn	$4.70bn	-$0.12bn	$0.98bn	$0.64bn	$1.57bn	$1.85bn	$2.90bn	$3.67bn
EPS (12m)	$0.25	$0.08	$1.19	$3.33	-$0.08	$0.69	$0.45	$1.07	$1.25	$1.94	$2.47
Operating cash flow	$1.18bn	$1.43bn	$0.31bn	$1.84bn	$1.51bn	$1.87bn	$1.53bn	$2.50bn	$3.44bn	$4.53bn	$4.53bn
Capex	-$0.38bn	-$0.32bn	-$0.32bn	-$0.46bn	-$0.38bn	-$0.55bn	-$0.59bn	-$0.71bn	-$0.79bn	-$0.88bn	-$2.72bn
Free cash flow	$0.81bn	$1.11bn	-$0.01bn	$1.38bn	$1.13bn	$1.32bn	$0.94bn	$1.79bn	$2.65bn	$3.66bn	$1.81bn

Ratios

Measure	BSX	Rule or peer median
Net debt / EBITDA	2.1x	≤ 4.5x
EBITDA / interest	15.5x	≥ 4x
Cash / short-term debt	0.3x	≥ 1x
Cash / long-term debt	4.9%	≥ 5%
Revenue growth, average / median year	16.6% / 17.6%	> 0
EPS growth (GAAP), average / median year	69.9% / 55.2%	> 0
Net margin, 12 months	17.5%	
P/E, trailing GAAP	17.1x	peer median 27.9x
P/E, forward	12.5x	
EV / EBITDA	13.0x	peer median 16.3x
Free cash flow yield	2.9%	
Price vs standard DCF fair value	+23.3%	< 0 is cheap

Strict screen: fails

Must-have	BSX
market value >= $1bn	Pass
reliable US-dollar data	Pass
profitable (net income and EBITDA > 0)	Pass
cash covers short-term debt	Fail
cash >= 5% of long-term debt	Fail
net debt / EBITDA <= 4.5x	Pass
EBITDA / interest >= 4x	Pass

Weighted screen against peers: BSX ranks 5 of 9

Company	Total	Debt (50%)	Profit and cash (25%)	Cheapness (25%)
1. RMD	73.4	80.2	72.2	61.1
2. DXCM	67.4	86.1	66.7	30.6
3. ISRG	61.0	75.0	69.0	25.0
4. PODD	57.7	59.0	62.7	50.0
5. BSX	**54.8**	**29.5**	**77.0**	**83.3**
6. STE	50.9	49.3	52.4	52.8
7. MDT	45.5	37.5	29.4	77.8
8. SYK	43.1	39.9	45.2	47.2
9. GEHC	39.9	30.9	25.4	72.2

Peers: ABT, MDT, SYK, ISRG, BDX, EW, ZBH, DXCM, STE, PODD, TFX, GEHC, RMD. Growth required. Scores are percentiles within the peers that pass the base rules.

DCF

Standard DCF	
Cash flow before growth (OCF − D&A + after-tax interest)	$3.40bn
WACC (CAPM)	8.1%
Growth forever	2.5%
Fair value per share	$34.36

Standard DCF	
Price vs fair value	+23.3%
Growth forever implied by today's price	3.3%

3. Analysis

Adjusted P/E against its own 10-year history



Year	Average price	Adjusted EPS	P/E
Now (12m)	**$42.35**	**$3.19**	**13.3x**
2025	$100.87	$3.05	33.1x
2024	$76.24	$2.51	30.4x
2023	$51.31	$2.05	25.0x
2022	$41.86	$1.71	24.5x
2021	$41.59	$1.63	25.5x
2020	$37.41	$0.96	39.0x
2019	$40.25	$1.59	25.3x
2018	$32.17	$1.48	21.7x
2017	$26.52	$1.26	21.0x
2016	$21.26	$1.12	19.0x

Median of the yearly P/E: 25.2x over 10 years, 25.5x over the last 5.

Adjusted EPS: Yahoo's reported quarterly EPS (the basis analysts use, without amortization and one-offs), split-adjusted. Last four quarters, by report date: Feb 2026 $0.80, Apr 2026 $0.80, Jul 2026 $0.86, Oct 2026 $0.73. Full-year EPS is the trailing figure at the Q4 report; P/E uses the year's average price. The chart shows the daily price over the trailing adjusted EPS known that day.

Entry price

At 13x trailing adjusted EPS of $3.19, the entry price is **$41.47**, 2% below today's price. The 10-year range of yearly P/E is 19.0x to 39.0x (years of collapsed earnings, such as 2020, show very high P/Es).

Target: Proposed 2026-10-27 (report 11): about half the 10-year median, a discount for slower growth and the Penumbra debt.

Business

Boston Scientific makes devices for heart, vascular, digestive and urology procedures. The growth engines of the last few years were electrophysiology (pulsed field ablation, Farapulse) and the Watchman left-atrial-appendage closure device. Organic growth was 15.8% in 2025; the 2026 guide is now about 3.75% after four cuts (Q3 2026: +1.5%). It generates about $3.6bn of free cash flow a year (SEC capex).

Risks

- **Share loss in US electrophysiology:** competitors' pulsed field ablation systems are taking share.
- **Watchman:** stand-alone Watchman procedures are falling.

- **Debt:** the pending $14.5bn Penumbra deal adds about $11bn of debt, taking net debt to EBITDA near 3.8x; it also needs an FTC remedy.
- **Cyberattack:** the Aug 25 attack disrupted manufacturing and shipping; likely a one-off but it clouds Q3.

News

- 2026-10-28: Q3 sales $5.14bn (+1.5%, just above the $5.12bn estimate); adjusted EPS $0.73 against $0.75 expected and $0.75 a year ago. Full-year adjusted EPS cut to $3.16–3.18 (was $3.34–3.41); Q4 guided to $0.77–0.79 (consensus $0.83) with sales down 1–3%. The release gives no figures for electrophysiology or Watchman, and no 2027 outlook. The stock fell about 6% to about $42.3. The cyberattack's cost is not quantified, so adjusted EPS here still includes it.
- 2026-10-27 (evening): closed about $45.0 ahead of tomorrow's report. Stifel cut its target from $60 to $55 on Oct 26 but kept Buy.
- 2026: the stock is down about half from its 2025 high after three guidance cuts.

What to watch

- The 2027 outlook with Q4 results (late January): does growth recover once the cyberattack is behind it?
- Whether US electrophysiology and Watchman stabilise.
- The Penumbra closing, the FTC remedy and the debt package.

Caveats

- Yahoo data is unofficial; capex can include acquisitions or stakes, so check SEC capex.
- The peer group is hand-picked, so the weighted scores depend on it.
- Claude's notes are dated above and may be older than the numbers.

Reproduce: `uv run python analysis/watchlist.py BSX`